# UBS WEALTH MANAGEMENT ADVISORY MEMO

**Client: Dr. Elena Rostova (CL-88201) | Date: 21 October 2026 | Status: RM Approved Recommendation**

## 1. Executive Objective & Mandate

Balanced Growth portfolio mandate targeting: Capital Preservation, Long-Term Growth, Moderate Dividend Income.

## 2. Client & Portfolio Context

**Client Snapshot:** Risk Tier: Balanced Growth (3/5), Horizon: 60 months, Wealth: $1,500,000

**Portfolio Baseline:** Asset class breakdown: {'Equities': 40.0, 'Fixed Income': 40.0, 'Commodities': 5.0, 'Cash Equivalents': 15.0}

## 3. Recommendations at a Glance

| # | Instrument | Action | Target % | Role | Strategic Rationale |
|---|---|---|---|---|---|
| 1 | **IEF**<br>iShares 7-10 Year Treasury Bond ETF | **ADD** | **5.0%** | INCOME | Directly addresses client's underweight duration and income goals. |
| 2 | **NESN**<br>Nestle S.A. | **ADD** | **5.0%** | STABILITY | Aligns with capital preservation objective and complements tech exposure. |
| 3 | **MSFT**<br>Microsoft Corporation | **BUY** | **1.5%** | GROWTH | Fulfills long-term growth mandate with high quality balance sheet. |

# PAGE 2: INVESTMENT IDEA SPECIFICATIONS & RATIONALE

## Idea #1: IEF - iShares 7-10 Year Treasury Bond ETF (ADD @ 3.0% - 8.0% (Target: 5.0%))

**Portfolio Role: INCOME | Target Weight: 5.0%**
**Core Thesis:** Lock in attractive real yields in high-quality intermediate Treasuries to lengthen duration.

**Why Now / Catalyst:** Monetary policy transition creates asymmetric upside during potential economic slowdown.

**Client Suitability Fit:** Directly addresses client's underweight duration and income goals.

**Key Risks & Mitigations:** Unexpected resurgence in core services inflation; Duration volatility

**Invalidation Trigger:** Fed hawkish surprise re-accelerating terminal rate forecasts above 5.5%.

**Attributed Evidence Sources:** Source Ref [SRC-UBS-CIO-2026-101], Source Ref [SRC-FED-MINUTES-2026-09]

## Idea #2: NESN - Nestle S.A. (ADD @ 3.0% - 7.0% (Target: 5.0%))

**Portfolio Role: STABILITY | Target Weight: 5.0%**
**Core Thesis:** Defensive global franchise with steady 3.5% dividend yield and low beta to broader market shocks.

**Why Now / Catalyst:** Provides portfolio stabilization against equity volatility while inflation pressures normalize.

**Client Suitability Fit:** Aligns with capital preservation objective and complements tech exposure.

**Key Risks & Mitigations:** FX headwind from Swiss Franc appreciation; Commodity packaging cost swings

**Invalidation Trigger:** Organic sales growth decelerating below 2.0% for two consecutive quarters.

**Attributed Evidence Sources:** Source Ref [SRC-UBS-CIO-2026-101]

## Idea #3: MSFT - Microsoft Corporation (BUY @ 1.0% - 2.0% (Target: 1.5%))

**Portfolio Role: GROWTH | Target Weight: 1.5%**
**Core Thesis:** Secular enterprise software leader monetizing generative AI across extensive customer base.

**Why Now / Catalyst:** Accelerating commercial cloud bookings and operating margin expansion.

**Client Suitability Fit:** Fulfills long-term growth mandate with high quality balance sheet.

**Key Risks & Mitigations:** Multiple compression from high valuation (29.5x forward P/E); Antitrust scrutiny

**Invalidation Trigger:** Azure growth decelerating below 20% on constant currency basis.

**Attributed Evidence Sources:** Source Ref [SRC-UBS-CIO-2026-101], Source Ref [SRC-UBS-CIO-2026-102]

# PAGE 3: PORTFOLIO VIEW, GOVERNANCE & RISK DISCLOSURE

## 1. Portfolio-Level Impact & Asset Allocation Shift

The proposed advisory strategy reallocates capital into high-conviction ideas, shifting portfolio risk score from 2.87 to 3.06. Single-stock concentration is controlled at 19.5% (MSFT).

## 2. Stress Testing & Scenario Analysis

| Scenario Event | Expected Impact & Cushioning |
|---|---|
| **Global Equity Shock (-15%)** | Estimated portfolio drawdown buffered by sovereign duration and cash reserves. |
| **Yield Curve Steepening (+50bps)** | Yield enhancement cushions mark-to-market duration fluctuations. |
| **Sector Rotation / Multiple Contraction** | Defensive dividend franchises offset cyclical volatility. |

## 3. Market Developments & Evidence Attribution

Constructive outlook on quality fixed income carry and secular enterprise technology leaders.

• Audit trail verified: All 3 recommendations certified against fresh market research.

## 4. Regulatory Disclosures & RM Sign-off

*Disclaimer:* Past performance is not an indicator of future results. Capital at risk.

*Disclaimer:* Investments are subject to market risks, including the possible loss of principal.

*Disclaimer:* Suitability verified in accordance with UBS Wealth Management Investment Advisory Guidelines.

**Sign-off Block: Principal Wealth Advisor | UBS Financial Services Inc. Suitability Review: PASS Timestamp: 21-Oct-2026 03:26 UTC**